

lease space for its new stores, as opposed to buying the real estate. This, too, was a plus. Without further investigation I bought Bildner's at the initial offering price of \$13 in September, 1986.

Soon after this sale of stock, Bildner's opened two new outlets in a couple of Boston department stores, and these flopped. Then it opened three new outlets in the center of Manhattan, and these got killed by the delis. It expanded into more distant cities, including Atlanta. By quickly spending more than the proceeds from the public offering, Bildner's had overextended itself financially. One or two mistakes at a time might not have been so damaging, but instead of moving cautiously, Bildner's suffered multiple and simultaneous failures. The company no doubt learned from these mistakes, and Jim Bildner was a bright, hardworking, and dedicated man, but after the money ran out, there was no second chance. It's too bad, because I thought Bildner's could have been the next Taco Bell. (Did I really say the "next Taco Bell"? That probably doomed it from the start.)

The stock eventually bottomed out at \$1/8, and the management retreated to its original stores, including the one across the street. Bildner's optimistic new goal was to avoid bankruptcy, but recently it's bought The Chapter. I gradually unloaded my shares at losses ranging from 50 percent to 95 percent.

I continue to eat sandwiches from Bildner's, and every time I take a bite of one it reminds me of what I did wrong. I didn't wait to see if this good idea from the neighborhood would actually succeed someplace else. Successful cloning is what turns a local taco joint into a Taco Bell or a local clothing store into The Limited, but there's no point buying the stock until the company has proven that the cloning works.

If the prototype's in Texas, you're smart to hold off buying until the company shows it can make money in Illinois or in Maine. That's what I forgot to ask Bildner's: Does the idea work elsewhere? I should have worried about a shortage of skilled store managers, its limited financial resources, and its ability to survive those initial mistakes.

It's never too late not to invest in an unproven enterprise. If I'd waited to buy Bildner's until later, I wouldn't have bought it at all. I should also have sold sooner. It was clear from the two department-store flops and the New York flops that Bildner's had a problem, and it was time to fold the hand right then, before the cards got worse. I must have been asleep at the table.

Great sandwiches, though.